Observations on the Railroad Comparison.[1] It has formerly been the custom to base earnings studies on the figures for the previous calendar years, with certain references to later interim reports. But since complete figures are now available month by month, it is more logical and effective practice to ignore the calendar-year division and to use instead the results for the twelve months to the latest date available. The simplest way to arrive at such a twelve months' figure is to apply the *change* shown for the current year to date to the results of the previous calendar year.

Example:

Gross Earnings of Pennsylvania Railroad System for 12 Months Ended June, 1939

(1) 6 months to June 1939 (as reported)	$189,623,000
(2) 6 months to June 1938 (as reported)	167,524,000
(3) Difference	+22,099,000
(4) Calender year 1938	360,384,000
12 months to June 1939 (4 plus 3)	$382,483,000

Our table includes a few significant calculations based on the seven-year average. In an intensive study, average results should be scrutinized in more detail. To save time, it is suggested that additional average figures be computed only for those roads which the analyst selects for further investigation after he has studied the exhibits in the "standard form." Whether the period of averaging should cover seven years or a longer or shorter time is largely a matter for individual judgment. In theory it should be just long enough to cover a full cyclical fluctuation but not so long as to include factors or results that are totally out of date. The six years 1934–1939 might well be regarded as a somewhat better criterion, for example, than the longer period 1933–1939.

Figures relating to preferred stocks fall into two different classes, depending on whether the issue is considered for fixed-value investment or as a speculative commitment. (Usually the market price will indicate

[1] Reference is made to earlier chapters for explanation of the terminology and the critical tests referred to in this discussion.